

to the transaction. On paper, it would appear that both Bank A and Bank B were dealing with Bank C, though both banks were aware that they were directly dealing with Harshad.

The payment cheque would be received in the name of Bank C, which would then immediately credit the funds to Harshad's account after deducting a fee. Similarly, Bank C would also deliver securities from its portfolio to the buying bank, and receive securities later from the buying broker.

It was this facility that helped Harshad rapidly scale up the size of his transactions. The jobbing skills he had learnt the hard way in the trading ring of BSE would be put to good use in the money market. Depending on which side of the trade he was on, he would make a security liquid or illiquid to get the best deal for himself. In addition to acting as counterparty, Harshad would also broker trades for banks. On paper he would not be charging banks any brokerage on some of the transactions. But here too, Harshad was benefiting from the wide spread between the rates at which one bank sold and the other bank bought.

Soon, the banks that Harshad did business for trusted him so unquestioningly that they would credit large sums into his account on his instructions. In theory, they were paying him for the securities he was supposed to buy for them. In practice, Harshad would use the money for his own stock market investments. He would buy huge quantities of his favourite stocks using the money from the banks, sending share prices skyward in the process. He would keep the profits from playing the stocks and pass the funds on to the selling bank, or return the funds to the buying bank, depending on the arrangement. Nobody knows when he hit upon the idea of diverting banks' funds into the stock market; it began to get talked about only in 1991 when the size of his bets grew very large. In 1990, however, Dalal Street was yet to catch the imagination of the masses, most of whom had only a vague idea about shares and the stock market.

A couple of months after his generous gesture, Sharma asked me if I wanted to meet Harshad in person. I was very keen, having heard so much about him. A few days later, when we met in the ring, he told me that Harshad was meeting up with a few friends over dinner at the Grasshopper restaurant in Vile Parle that evening.

'Bhai will be happy to have you with us,' Sharma said.